

TOTAL KENYA LIMITED

UNAUDITED HALF-YEAR RESULTS FOR THE PERIOD TO 30TH JUNE 2010

STATEMENT OF FINANCIAL POSITION

AS AT,	30 June 2010 KSh'000	31 Dec 2009 KSh'000
ASSETS		
Non current assets		
Property plant and equipment	9,979,530	4,118,515
Deferred taxation	123,624	113,444
Deferred expenditure	154,145	154,145
Goodwill	416,679	6,396,651
Total non-current assets	10,673,978	10,782,755
Current assets		
Inventories	11,406,656	7,876,468
Accounts receivable and other assets	10,652,169	12,359,319
Cash and bank balances	324,575	509,654
Total current assets	22,383,400	20,745,441
TOTAL ASSETS	33,057,378	31,528,196
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	4,774,771	4,774,771
Share premium	1,967,520	1,967,520
Revenue reserve	2,223,658	2,219,900
Shareholders' equity	8,965,949	8,962,191
Non Current Liabilities		
Medium Term Loan	3,627,000	3,978,000
Total Non Current Liabilities	3,627,000	3,978,000
Current liabilities		
Medium Term Loan	702,000	702,000
Trade and other payables	8,978,446	8,703,410
Short term borrowings	10,783,983	9,182,595
Total current liabilities	20,464,429	18,588,005
TOTAL EQUITY AND LIABILITIES	33,057,378	31,528,196

STATEMENT OF CASH FLOWS

AS AT,	30 June 2010 KSh'000	30 June 2009 KSh'000
CASH FLOW FROM OPERATING ACTIVITIES		
Cash generated from operations	(55,544)	(473,577)
Taxation paid	(219,768)	(214,624)
Net cash from operating activities	(275,312)	(688,201)
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(329,021)	(52,124)
Proceeds on disposal of property, plant and equipment	10,743	976
Net cash used in investing activities	(318,278)	(51,148)
CASH FLOW FROM FINANCING ACTIVITIES		
Interest paid	(543,350)	(185,574)
Interest received	-	8,153
Loan Repayment	(351,000)	-
Dividend paid	(298,526)	(437,662)
Net cash used in Financing Activities	(1,192,876)	(615,083)
Net (decrease)/ Increase in cash and cash equivalents	(1,786,466)	(1,354,432)
CASH AND CASH EQUIVALENTS		
As at 1 January	(8,672,941)	(3,492,670)
As at 30 June	(10,459,407)	(4,847,102)

STATEMENT OF CHANGES IN EQUITY

FOR THE SIX MONTHS PERIOD ENDED	30 June 2010 KSh'000	30 June 2009 KSh'000
Share Capital	875,324	875,324
Issued Redeemable Preference Share Capital	3,899,447	-
	4,774,771	875,324
Share Premium	1,967,520	1,967,520
Revenue Reserves	2,219,900	2,175,300
Net Profit	302,284	36,955
Dividends Declared	(298,526)	(437,663)
At end of period	8,965,949	4,617,436

STATEMENT OF COMPREHENSIVE INCOME

AS AT,	30 June 2010 KSh'000	30 June 2009 KSh'000
Turnover	38,994,026	15,318,179
Indirect taxes	(7,714,072)	(3,586,801)
Net turnover	31,279,954	11,731,378
Cost of sales	(28,645,636)	(10,731,796)
Gross profit	2,634,318	999,582
Other income	40,466	45,111
Depreciation and amortisation	(444,686)	(160,158)
Operating expenses	(1,205,876)	(657,273)
Operating profit /(Loss)	1,024,222	227,262
Finance costs - net	(543,350)	(177,421)
Foreign currency exchange differences	172	5,324
Profit before taxation	481,044	55,165
Taxation	(178,760)	(18,210)
Net Profit	302,284	36,955

COMMENTS FROM MANAGEMENT

The Company's performance for the first half of 2010 reflects a significant improvement over the same period in 2009. This good performance is attributed to benefits of synergies that had been envisaged to result from the merger.

Sales volumes increased by 268KT over the same period in 2009 leading to an increase in the Company's inland market share from 15.6% in June 2009 to 27.6 % in June 2010. This increase was mainly driven by the effect of the merger coupled with very good performance in the General trade and Network channels. Turnover went up by Kes 19,549 million as a result, although a small part of this was attributable to increases in international oil prices. Gross profit on the other hand went up by over 160% due to positive margins in 2010 as compared to negative margins realised especially in the first quarter of 2009 that had resulted from a sharp decline in petroleum prices.

Operating expenses went up by 83% which is in line with increased operations for the merged company. Depreciation and amortization went up by Kes 285 million mainly due to the effect of acquired assets after the merger. Goodwill that had been recognised after acquisition of Chevron business has now been reallocated to property, plant and equipment after revaluation of the acquired assets that was completed in April 2010.

Finance costs went up by Kes 366 million due to interest charged on the medium term loan and increased short term borrowings to finance the increased working capital requirements. Profit before tax went up by Kes 426 million while net profit reached Kes 302 million compared to Kes 37 million recorded in 2009.

The management is optimistic that the performance of the second half will be in line with projections, provided that there will be improved product flow to upcountry locations through the Kenya pipeline system and stability in International oil prices.

Felix Majekodunmi
Managing Director



TOTAL